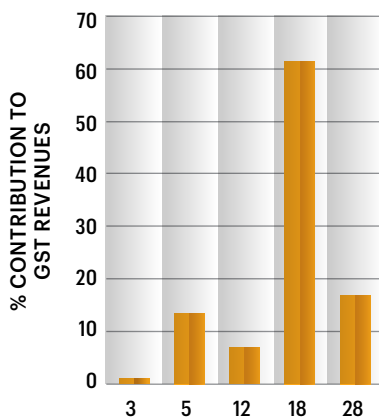


RECKONING WITH RATES

- The 18% slab has been the mainstay of the GST structure

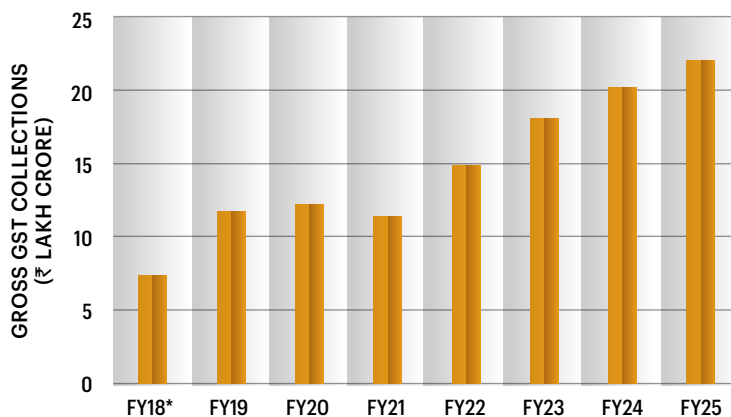


GST RATE SLAB (%)

SOURCE NIPFP WORKING PAPER, MINUTES OF THE 45TH GST COUNCIL MEETING

STEADY RISE IN COLLECTIONS

- GST collections have been going up, except for a dip in FY21 because of Covid-19



* JULY 1, 2017 ONWARDS

SOURCE FINANCE MINISTRY

benefit of the cuts on footwear priced below ₹1,000 to customers. Under the scheme, prices across Bata outlets reflect a 7% reduction. The company is absorbing the differential to pass on immediate savings to buyers.

THE GROWTH BOOST

The finance ministry has declined to quantify the impact of the cuts on GDP and remains cautious, with the FY26 GDP growth projection retained at 6.5%, given that the impact of the 50% tariffs by the US is yet to play out. The government hopes that a trade deal will be worked out with the US. This has now been reaffirmed by Prime Minister Modi and US President Donald Trump.

The finance minister had highlighted that the measures aim to support not only end consumers but also critical sectors of the economy—agriculture and farmers, MSMEs, labour-intensive industries and medical devices and healthcare.

Veteran economist and Chairman of the Karnataka Regional Imbalances Redressal Committee, M. Govinda Rao, says the rate rationalisation is an important

reform, given the plethora of rates earlier. He believes the impact will become clearer in the coming months. “The income tax cuts may not give too much of a boost to consumption and the repo rate cut will largely help producers and manufacturers, although it could benefit consumers to some extent as well,” he says, adding that the GST cuts might boost consumption, but several items are price inelastic, meaning that a change in price does not impact demand.

However, coming ahead of the festive season, the government and several analysts remain fairly optimistic about the expected consumption spurt, with some estimates saying it could boost growth by as much as 0.6% of GDP, while also helping ease inflation. It’s also seen as a salve after US President Donald Trump’s characterisation of India as “a dead economy”.

Madhavi Arora, Chief Economist at Emkay Global Financial Services, says domestic demand may see a potentially boost of about ₹2 lakh crore (0.6% of GDP) in calendar year 2027 with compensation cess getting dissolved.

Rating agency ICRA expects FY26 GDP growth at